

MEMO: Where We Lose Margin and What to Do About It

To: Executive Team | From: Hrishikesh | Date: October 3, 2026
Re: Findings from the Financial Performance Dashboard

Bottom line

Sales are growing, but margin is not keeping up. The leak is concentrated in deep discounting and in one segment, Enterprise. Government carries most of the profit. Three findings and suggested actions follow.

1. Growth is real but volatile, and margin has not kept up

Monthly sales swing sharply (from **-56.5%** to **+122.9%** month over month), so any single month can mislead. The 3-month moving average shows the underlying trend: up from about **\$6.5M** in March 2014 to **\$9.9M** in December 2014. Sep-Dec 2014 sales were **36.9%** above the same months of 2013, but margin moved only **+0.35** percentage points, so most of that growth is not becoming extra profit. Geography is not the cause: 2014 profit is fairly even across countries (\$2.3M in Mexico to \$3.0M in France).

Recommendation: I'd suggest setting sales targets and forecasts on the 3-month average instead of single months, and reporting margin next to sales growth every month.

2. Discounting erodes margin, and Enterprise is where it turns into a loss

Margin falls at every step up in discount: **21.4%** with none, **17.4%** at Low, **13.7%** at Medium and **9.6%** at High (2014). It is not only Enterprise: excluding Enterprise, margin still falls from 26.5% to 13.3%. Enterprise is the only loss-making segment (**-\$420.8K** profit, **-2.7%** margin) because it sells every product at \$125 per unit against a \$120 cost. Its margin is only 4% before discounts, so any discount above about 4% is a loss: Low (about 2.6% off) stays at +1.4%, Medium (about 7.4% off) falls to -3.0%, High (about 12.3% off) to -9.3%.

Evidence: the Product x Segment matrix shows Enterprise negative on all six products (-\$4.9K for Montana to -\$138.4K for Carretera). The SQL top-3 ranking per segment (2013-14) shows even Enterprise's best three products lose money: Montana (-\$31.1K), Paseo (-\$81.7K) and Velo (-\$84.8K). So this is a segment-level pricing and discount problem, not a product problem.

Recommendation: I'd suggest an approval step or cap for Medium and High discounts across the business, keeping Enterprise discounts under about 4%, and reviewing Enterprise pricing and contract terms before the next renewal cycle.

3. Government carries the profit, and Paseo's unit profit is a lever

Government earns about **\$8.5M of the \$13.0M** total profit in 2014 (roughly 65%); the next largest segment, Small Business, earns \$3.4M. Paseo is the top product in 4 of 5 segments and leads on volume, but earns **\$14.44** profit per unit against \$16.95 for VTT and \$16.71 for Amarilla.

Evidence: the SQL ranking has Government's top three as Paseo (\$3.06M), Amarilla (\$2.21M) and VTT (\$1.84M) over all years. On the volume vs margin scatter chart, Paseo sells the most units (about 256K) at the lowest margin of the six products (13.6%).

Recommendation: I'd suggest protecting the Government accounts first, and testing a small price or discount change on Paseo, since a small per-unit gain on the highest-volume product adds up quickly.

Sales growth (Sep-Dec, YoY)	Margin change (like-for-like)	Enterprise profit (2014)	Government share of profit
+36.9%	+0.35 pp	-\$420.8K	~65%

Scope note: the data is Microsoft's public Financial Sample. 2013 only covers Sep-Dec, so year-over-year figures compare the same months, and segment, country and product views are filtered to 2014. The SQL ranking tables cover all years. Full analysis, SQL queries and the interactive dashboard are in the project's GitHub repository.